

earnings report is not good, the typical investor response is an abrupt, ill-considered overreaction, with its inevitable effect on stock prices. Thaler describes this overemphasis on the short term as investor “myopia” (the medical term for nearsightedness), and believes most investors would be better off if they didn’t receive monthly statements.

To illustrate his ideas about overreaction, Thaler developed a simple analysis. He took all the stocks on the New York Stock Exchange and ranked them by performance over the preceding five years. He isolated the 35 best performers (those that went up in price the most) and the 35 worst performers (those that went down the most) and created hypothetical portfolios of those 70 stocks. Then he held those portfolios for a subsequent five years, and watched as “losers” outperformed “winners” 40 percent of the time. In the real world, Thaler believes, few investors would have had the fortitude to resist overreacting at the first sign of a price downturn, and would have missed the benefits when the losers began to move in the other direction.⁴

Overreaction bias, as a concept, has been understood for some time now. But in the past few years it has been profoundly exacerbated by modern technology. Before the advent of the Internet and cable financial news programs, most investors looked at stock prices infrequently. They might check their brokerage statement at the end of each month, check their quarterly results after three months, and then tabulate their annual performance at year-end.

Today, with the advancements in communication technology, investors are able to stay connected, continuously, to the stock market. Mobile devices allow people to check their portfolios while riding in a car or train. They can check their performance walking to and from meetings or standing in a checkout line. Online brokerage accounts can tell you how well your portfolio has been performing since the opening bell. These accounts can calculate your relative performance for trailing one-day, five-day, 10-day, monthly, quarterly, and yearly returns. In short, investors can check the prices of their stocks every second of every 24-hour day.

Is this constant fixation on stock prices healthy for investors? Richard Thaler has a crisp answer. He lectures frequently at the Behavioral Conference sponsored by the National Bureau of Economic Research and